

TSMC

Outperform

Capex reality check

Key Points

- Selected price hikes and a strategic shift from mature to advanced nodes to maximise limited fab space will raise wafer ASP sharply.
 - Output per square foot will decline during advanced node migration because complex, multi-layer processes require more space.
 - A sudden capex surge is unlikely due to clean room space shortages. Spending will rise gradually as new fab construction finishes.
- Pricing power and favourable product mix drive ASP.** We believe that TSMC can continue to successfully raise prices periodically by capitalising on the heated demand and consistently delivering enhanced performance for its clients. Also, the company is systematically phasing out mature nodes to prioritise advanced node manufacturing. This strategic shift not only optimises constrained fab spaces but is likely to result in sharp blended ASP uplift.
 - Capacity expansion remains modest amid advanced node migration.** We expect overall wafer capacity to increase only modestly as TSMC transitions its focus. Because advanced nodes require significantly more process layers, they demand more physical floor space and equipment per wafer output. Hence, the wafer output per square foot naturally declines as the node migrates, inherently limiting raw capacity growth while supporting premium pricing.
 - Structural clean room shortages dictate a measured capex trend.** A sudden, massive surge in capex over a single year is highly unlikely due to physical infrastructure bottlenecks. Like all major global foundries, TSMC is facing a shortage of clean room space. Without adequate clean rooms, the company cannot physically install new equipment, regardless of demand. Hence, capex will follow a gradual and steady growth path, strictly aligned with the completion and readiness of newly constructed fabs over the coming years.

Earnings changes: We raise our 2026E/27E/28E net profit by 4%/7%/1% to reflect better-than-expected rev driven by higher ASP.

Valuation: We lift our TP 33% to NT\$3,380, from NT\$2,550 rolling forward our unchanged 21x target multiple from 2027E to 2028E EPS; we project a 34% EPS CAGR over 2025-28E.

Catalysts: New capacity increases for N2; smart device replacement demand; new AI product launches

Investment Thesis and Recommendation

Our three-year outlook remains very positive, underpinned by strong HPC/on-device AI demand growth, pricing power for future products, and continued market share gains. [More TSMC research here.](#)

Semicons & Semicon Equip Taiwan



**Arthur
Lai**



**Katherine
Zheng**

2330 TT	Outperform
Price (at 18 Jun 2026)	TWD2,410
12-month target	TWD3,380.00
12-month TSR (%)	41.3
Volatility Index	Medium
Market Cap (Local) (m)	62,497,008
Market Cap (USD) (m)	1,979,758
Free Float (%)	93
30-day avg turnover (USD) (m)	2,689.2

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	3,809	5,170	7,023	9,169
Revenue growth (%)	31.6	35.7	35.8	30.6
EBIT (bn)	1,936	2,958	3,934	4,892
EBIT growth (%)	46.4	52.8	33.0	24.4
Reported profit (bn)	1,718	2,568	3,368	4,175
Adjusted profit (bn)	1,718	2,568	3,368	4,175
EPS rep [TWD]	66.2	99.0	129.9	161.0
EPS rep growth (%)	46.4	49.5	31.2	24.0
Net debt/equity (%)	(31.8)	(37.4)	(43.5)	(52.9)
ROA (%)	26.5	31.5	31.0	29.0
ROE (%)	35.4	40.0	38.5	35.1
PER rep (x)	36.4	24.3	18.6	15.0
EV/EBITDA (x)	22.8	16.2	12.0	9.2
P/BV (x)	11.5	8.4	6.2	4.6
Total div yield (%)	0.7	1.0	1.1	0.9

Quant (rank vs. global sector) 1 / 654

2330 TT rel TAIEX performance, & rec history



Source: FactSet, Macquarie Research, Jun 2026 (all figures in TWD unless noted, TP in TWD)

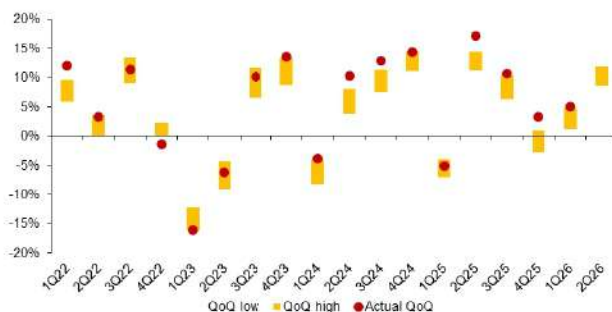
Key Risks to Investment Thesis

- A larger/longer inventory correction.
- End-demand weakening more than we expect.
- Higher-than-expected material costs/inflation.
- Unfavourable FX movements.

Company Description

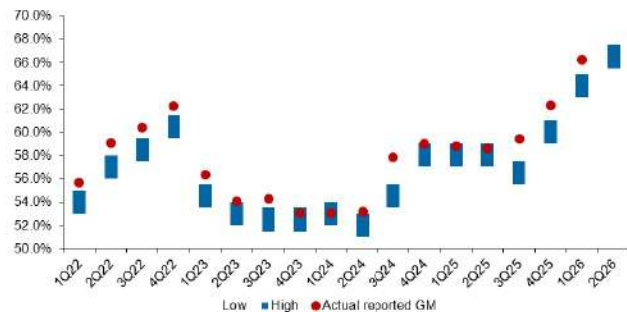
TSMC is the world's largest semiconductor foundry with over 50% market share. It has a diversified exposure to Mobile processors (Apple, Mediatek, Qualcomm), High Performance Computing (AMD, AWS, Broadcom, Intel, Nvidia), Automotives (MobilEye, STMicro, Tesla) and Industrial and Consumer electronics. TSMC has over 90% market share in leading-edge EUV nodes. The majority of its capacity is located in Taiwan, but some is also in China, Japan and the USA.

Figure 1 - TSMC revenue QoQ guidance vs actual



Source: TSMC, Macquarie research, Jun 2026

Figure 2 - TSMC GPM guidance vs actual



Source: TSMC, Macquarie research, Jun 2026

TSMC (2330 TT) TWD/(bn) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q1/26A	Q2/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		3,809	5,170	7,023	9,169	1,134	1,268	Cash	2,768	4,045	5,963	9,044
Cost of Goods Sold		1,528	1,746	2,416	3,368	382.8	414.6	Receivables	282.1	750.7	1,003	1,309
Gross Profit		2,281	3,424	4,607	5,801	751.3	853.1	Inventories	288.1	391.0	522.2	681.8
EBITDA		2,624	3,695	4,981	6,519	824.4	904.6	Investments	473.1	514.5	514.5	514.5
Depreciation		679.7	727.4	1,038	1,616	163.3	166.0	Fixed Assets	3,692	4,807	6,137	7,204
Amortisation		8.4	9.2	9.4	10.2	2.1	2.4	Intangibles	49.9	49.5	49.5	49.5
EBIT		1,936	2,958	3,934	4,892	659.0	736.3	Other Assets	380.1	302.9	329.2	361.1
Net Interest Income		93.4	96.9	92.3	135.5	26.1	21.6	Total Assets	7,933	10,860	14,517	19,165
Associates		5.5	5.6	5.2	4.0	1.7	1.3	Payables	767.6	1,486	1,985	2,591
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	136.9	172.8	215.1	244.5
Forex Gains / Losses		13.8	6.2	0.0	0.0	6.2	0.0	Long Term Debt	896.1	1,080	1,344	1,528
Other Pre-Tax Income		(7.1)	(5.2)	0.0	0.0	(5.2)	0.0	Other Liabilities	671.7	660.7	844.4	1,068
Pre-Tax Profit		2,042	3,062	4,031	5,032	687.8	759.2	Total Liabilities	2,472	3,400	4,389	5,432
Tax Expense		(326.3)	(494.8)	(665.1)	(855.4)	(115.0)	(121.5)	Shareholders' Funds	5,363	7,308	9,976	13,580
Net Profit		1,715	2,567	3,366	4,176	572.8	637.7	Minority Interests	41.2	41.4	41.4	41.4
Minority Interests		2.5	0.9	2.0	(1.5)	(0.3)	0.4	Other	56.8	111.1	111.1	111.1
Reported Earnings		1,718	2,568	3,368	4,175	572.5	638.1	Total S/H Equity	5,461	7,461	10,129	13,733
Adjusted Earnings		1,718	2,568	3,368	4,175	572.5	638.1	Total Liab & S/H Funds	7,933	10,860	14,517	19,165
Basic Shares Outstanding		25.9	25.9	25.9	25.9	25.9	25.9	Net Debt / Equity (%)	(31.8)	(37.4)	(43.5)	(52.9)
Diluted Shares Outstanding		25.9	25.9	25.9	25.9	25.9	25.9	ROE (%)	35.4	40.0	38.5	35.1
EPS (rep) [TWD]		66.2	99.0	129.9	161.0	22.1	24.6	ROA (%)	26.5	31.5	31.0	29.0
Total DPS [TWD]		18.0	23.0	27.0	22.0	5.0	6.0	ROIC (%)	50.6	66.6	70.4	70.9
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		31.6	35.7	35.8	30.6	-	-	EBITDA	2,624	3,695	4,981	6,519
EBITDA Growth (%)		32.2	40.8	34.8	30.9	-	-	Tax Paid	(326.3)	(494.8)	(665.1)	(855.4)
EBIT Growth (%)		46.4	52.8	33.0	24.4	-	-	Chgs in Working Cap	34.2	240.7	273.0	331.9
EPS Growth (adj) (%)		46.4	49.5	31.2	24.0	-	-	Net Interest Paid	93.4	96.9	92.3	135.5
Gross Profit Margin (%)		59.9	66.2	65.6	63.3	-	-	Other	(150.5)	(135.0)	7.2	2.5
EBITDA Margin (%)		68.9	71.5	70.9	71.1	-	-	Operating Cashflow	2,275	3,403	4,689	6,133
EBIT Margin (%)		50.8	57.2	56.0	53.4	-	-	Acquisitions	(29.7)	(41.4)	0.0	0.0
Net Profit Margin (%)		45.1	49.7	48.0	45.5	-	-	Capex	(1,272)	(1,774)	(2,378)	(2,695)
Payout Ratio (%)		27.2	23.2	20.8	13.7	-	-	Other	157.7	35.3	0.0	0.0
PE (rep) (x)		36.4	24.3	18.6	15.0	-	-	Investing Cashflow	(1,144)	(1,780)	(2,378)	(2,695)
EV/EBITDA (x)		22.8	16.2	12.0	9.2	-	-	Dividend (Ordinary)	(466.8)	(596.4)	(700.2)	(570.5)
EV/EBIT (x)		30.8	20.2	15.2	12.2	-	-	Equity Raised	0.0	0.0	0.0	0.0
Price/Book (x)		11.5	8.4	6.2	4.6	-	-	Debt Movements	14.7	220.1	306.5	213.4
Total Div Yield (%)		0.7	1.0	1.1	0.9	-	-	Other	11.7	(14.5)	0.0	0.0
								Financing Cashflow	(440.3)	(390.9)	(393.7)	(357.1)
								Net Chg in Cash/Debt	640.2	1,277	1,918	3,082
								Free Cashflow	1,003	1,629	2,311	3,439

Source: Company data, Macquarie Research Jun 2026

Figure 3 - TSMC model revision snapshot

(NT\$m)	FY26			FY27			FY28		
	New	old	change	New	old	change	New	old	change
Revenue	5,169,823	5,040,132	3%	7,022,868	6,660,462	5%	9,169,399	8,720,908	5%
Gross profit	3,424,108	3,310,644	3%	4,606,613	4,309,366	7%	5,801,252	5,560,441	4%
Op profit	2,958,291	2,842,615	4%	3,933,686	3,666,789	7%	4,892,183	4,695,216	4%
Pretax profit	3,061,753	2,947,272	4%	4,031,181	3,762,567	7%	5,031,657	4,966,726	1%
Net profit	2,567,788	2,470,758	4%	3,368,052	3,141,744	7%	4,174,766	4,122,383	1%
Margins									
Gross margin	66.2%	65.7%	55 bps	65.6%	64.7%	90 bps	63.3%	63.8%	-50 bps
Op margin	57.2%	56.4%	83 bps	56.0%	55.1%	96 bps	53.4%	53.8%	-49 bps
Net margin	49.7%	49.0%	65 bps	48.0%	47.2%	79 bps	45.5%	47.3%	-175 bps

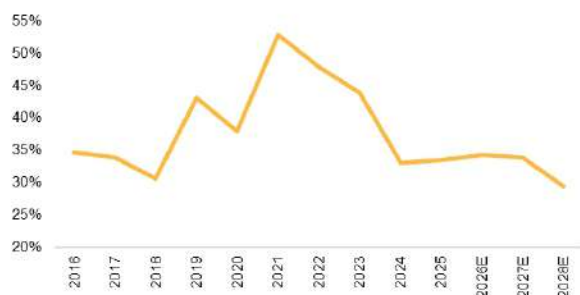
Source: Macquarie research, Jun 2026

Figure 4 - TSMC quarterly income statement

NT\$ bn	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Revenue	1,134.1	1,267.7	1,340.8	1,427.2	1,592.2	1,733.9	1,790.5	1,906.2	2,079.0	2,264.6	2,337.1	2,488.7
Gross profit	751.3	853.1	884.2	935.4	1,050.5	1,146.5	1,165.6	1,244.1	1,302.2	1,444.0	1,473.3	1,581.8
Operating profit	659.0	736.3	760.1	802.9	898.1	980.7	993.8	1,061.2	1,095.6	1,219.7	1,241.4	1,335.5
Pretax income	687.8	759.2	784.9	829.9	918.9	1,003.6	1,019.4	1,089.3	1,125.1	1,252.4	1,278.1	1,376.0
Net income	572.5	638.1	659.7	697.5	767.7	838.5	851.7	910.1	933.5	1,039.1	1,060.5	1,141.7
EPS (NT\$)	22.08	24.61	25.44	26.90	29.60	32.34	32.84	35.10	36.00	40.07	40.89	44.03
DPS (NT\$)	5.00	6.00	6.00	6.00	6.50	6.50	7.00	7.00	5.50	5.50	5.50	5.50
Margins												
Gross Margin	66.2%	67.3%	65.9%	65.5%	66.0%	66.1%	65.1%	65.3%	62.6%	63.8%	63.0%	63.6%
Opex ratio	-8.1%	-9.2%	-9.3%	-9.3%	-9.6%	-9.6%	-9.6%	-9.6%	-9.9%	-9.9%	-9.9%	-9.9%
EBIT	58.1%	58.1%	56.7%	56.3%	56.4%	56.6%	55.5%	55.7%	52.7%	53.9%	53.1%	53.7%
EBITDA	72.7%	71.4%	70.9%	71.1%	71.0%	71.1%	70.7%	70.9%	70.8%	71.4%	71.0%	71.2%
Net Margin	50.5%	50.3%	49.2%	48.9%	48.2%	48.4%	47.6%	47.7%	44.9%	45.9%	45.4%	45.9%
YoY												
Revenue	35%	36%	35%	36%	40%	37%	34%	34%	31%	31%	31%	31%
Gross profit	52%	56%	50%	43%	40%	34%	32%	33%	24%	26%	26%	27%
Operating profit	62%	59%	52%	42%	36%	33%	31%	32%	22%	24%	25%	26%
Net income	58%	60%	46%	38%	34%	31%	29%	30%	22%	24%	25%	25%
EPS (NT\$)	58%	60%	46%	38%	34%	31%	29%	30%	22%	24%	25%	25%
QoQ												
Revenue	8%	12%	6%	6%	12%	9%	3%	6%	9%	9%	3%	6%
Gross profit	15%	14%	4%	6%	12%	9%	2%	7%	5%	11%	2%	7%
Operating profit	17%	12%	3%	6%	12%	9%	1%	7%	3%	11%	2%	8%
Net income	13%	11%	3%	6%	10%	9%	2%	7%	3%	11%	2%	8%
EPS (NT\$)	13%	11%	3%	6%	10%	9%	2%	7%	3%	11%	2%	8%

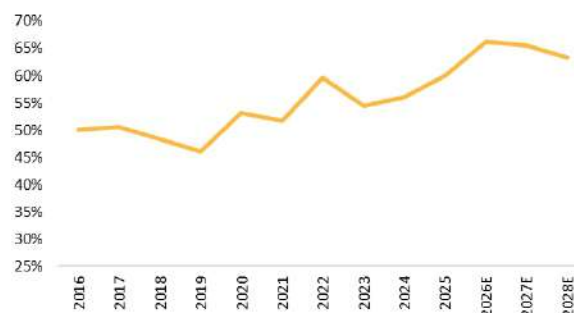
Source: TSMC, Macquarie research, Jun 2026

Figure 5 - TSMC: Capex to revenue ratio



Source: TSMC, Macquarie research, Jun 2026

Figure 6 - TSMC: GPM trend



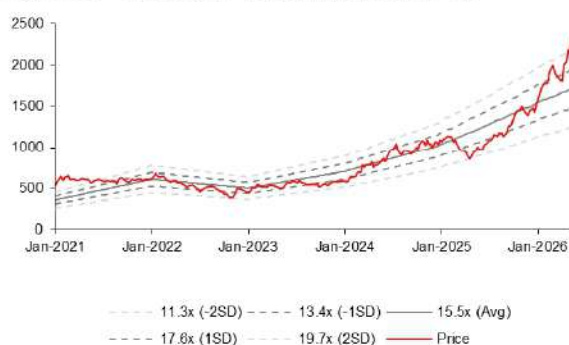
Source: TSMC, Macquarie research, Jun 2026

Figure 7 - TSMC: Revenue and margins

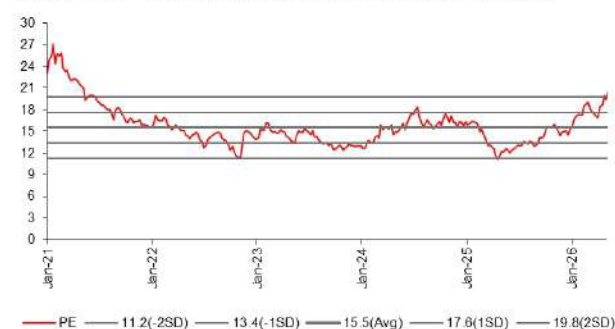
Source: TSMC, Macquarie research, Jun 2026

Figure 8 - TSMC: Wafer shipment, ASP

Source: TSMC, Macquarie research, Jun 2026

Figure 9 - TSMC: 12-month forward PEx

Source: Factset, Macquarie research, Jun 2026

Figure 10 - TSMC: 12-month Forward PE band

Source: Factset, Macquarie research, Jun 2026

Key Quant Findings (top 5% of the Macquarie Quant Alpha model)

The quant model currently holds a strong positive view on TSMC. The strongest style exposure is Profitability, indicating this stock is efficiently converting investments to earnings; proxied by ratios like ROE or ROA. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

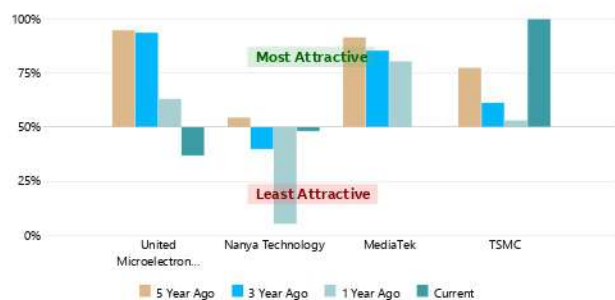
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Taiwan	Semiconductors & Semiconductor Equip.
Macquarie Alpha Model	1/17924	1/977	1/657
Fundamental (Consensus) *	2448/17924	56/977	110/657

* based on Total Shareholder Return = Consensus Price target / Current Price

Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



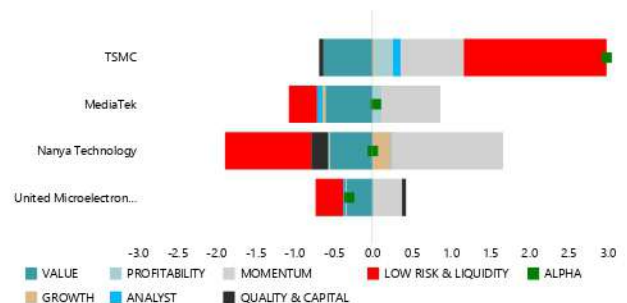
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/657)	market (/977)	
ALPHA	100%	100%	Built from the styles below
VALUE	65%	15%	Book, CF, Yield, Earnings Multiples
ANALYST	89%	97%	Revisions (Earnings, Recommendations)
MOMENTUM	51%	90%	Price Momentum
GROWTH	60%	77%	EPS, Sales (Forecast, Historic)
PROFITABILITY	94%	98%	ROE, Margin, Asset Turnover
QUALITY	81%	89%	Accruals, Earn Stability, Cash Conversion
CAPITAL	59%	27%	Investment/Capex, Net share issuance
LIQUIDITY	100%	100%	Size, Turnover, Analyst Coverage
LOW RISK	88%	75%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	24%	8%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Returnestor												Last 5 Years (ann)	Last 10 Years (ann)
	May -26	Apr -26	Mar -26	Feb -26	Jan -26	Dec -25	Nov -25	Oct -25	Sep -25	Aug -25	Jul -25	Jun -25		
ALPHA	3%	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	7%	5%
VALUE	1%	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	10%	4%
ANALYST	4%	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	15%	13%
MOMENTUM	17%	19%	-8%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	5%	5%
GROWTH	7%	7%	-8%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	5%	3%
PROFITABILITY	1%	-8%	3%	0%	-8%	1%	3%	0%	-4%	-2%	-6%	1%	-5%	-3%
QUALITY	-2%	-8%	2%	-1%	-8%	-1%	1%	-4%	-6%	1%	-3%	-4%	-6%	-3%
CAPITAL	-1%	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	1%	-4%
LIQUIDITY	10%	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	-2%	3%
LOW RISK	-8%	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-9%	-8%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: macquarieequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>

Analysts

Arthur Lai

852 3922 4216
art.lai@macquarie.com
 Macquarie Capital Limited

Katherine Zheng

+852 6886 4436
kat.zheng@macquarie.com
 Macquarie Capital Limited

Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25–40% in a year. Low – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / $efpowa^*$ ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

Company Name	Disclosure
TSMC (2330 TT) Outperform 12-month target: TWD3,380.00 - PER Valuation: TWD 3,380.00 - PER Price: TWD2,410	None

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Recommendation history

Company name	Date	Recommendation	Target price
TSMC (2330 TT)	18-Jun-2026	Outperform	TWD 3380.00
	16-Apr-2026	Outperform	TWD 2550.00
	16-Jan-2026	Outperform	TWD 2400.00
	6-Jan-2026	Outperform	TWD 2150.00
	16-Oct-2025	Outperform	TWD 1710.00
	3-Oct-2025	Outperform	TWD 1620.00
	17-Jul-2025	Outperform	TWD 1310.00
	7-Jul-2025	Outperform	TWD 1282.00
	18-Apr-2025	Outperform	TWD 1125.00



10-Apr-2025	Outperform	TWD 990.00
7-Jan-2025	Outperform	TWD 1450.00
18-Oct-2024	Outperform	TWD 1500.00
10-Oct-2024	Outperform	TWD 1350.00
19-Jul-2024	Outperform	TWD 1295.00
5-Jul-2024	Outperform	TWD 1280.00
19-Apr-2024	Outperform	TWD 1000.00
18-Jan-2024	Outperform	TWD 710.31
19-Oct-2023	Outperform	TWD 725.43
2-Oct-2023	Outperform	TWD 699.00
21-Jul-2023	Outperform	TWD 681.66

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